$50,000 income throughout your entire working life. Then, when it was time to retire, you started living off your investments. Even if you lived on a conservative 4% of your total $3.6 million nest egg, you'd have a retirement income of $144,000 per year. Your investments would pay you almost three times what your full-time job paid you! That's true financial independence, because that income happens automatically. You don't have to work for it. It rolls in no matter where you are—whether you're at work, volunteering, traveling the world, or playing golf. You can do whatever you want for the rest of your life without worrying about money.

And listen, I know I've been referring to retirement a lot, but financial independence doesn't have to wait until your sixties. Financial independence isn't an age; it's just math. Whenever you hit your financial milestones and have investment income that will support your lifestyle, you're financially independent. It doesn't matter if you're thirty-five or sixty-five. I've known people who busted it for the first twenty years of their career, and then retired in their early forties. If that's your goal, go for it.

Okay, let's break all this down. Financial independence means you've got no debt (including a paid-off home), your income comes from your assets instead of a paycheck, you've hit some key milestones, and you're experiencing freedom like you've never known. That sounds awesome, doesn't it? Even if you maintain a simple, frugal lifestyle at this point, can you imagine what it would feel like to know you had enough money to live on for the rest of your life without having to work? Cliff, a millionaire from Minnesota, knows what that's like. This guy has seen a dramatic swing in his net worth throughout his life.